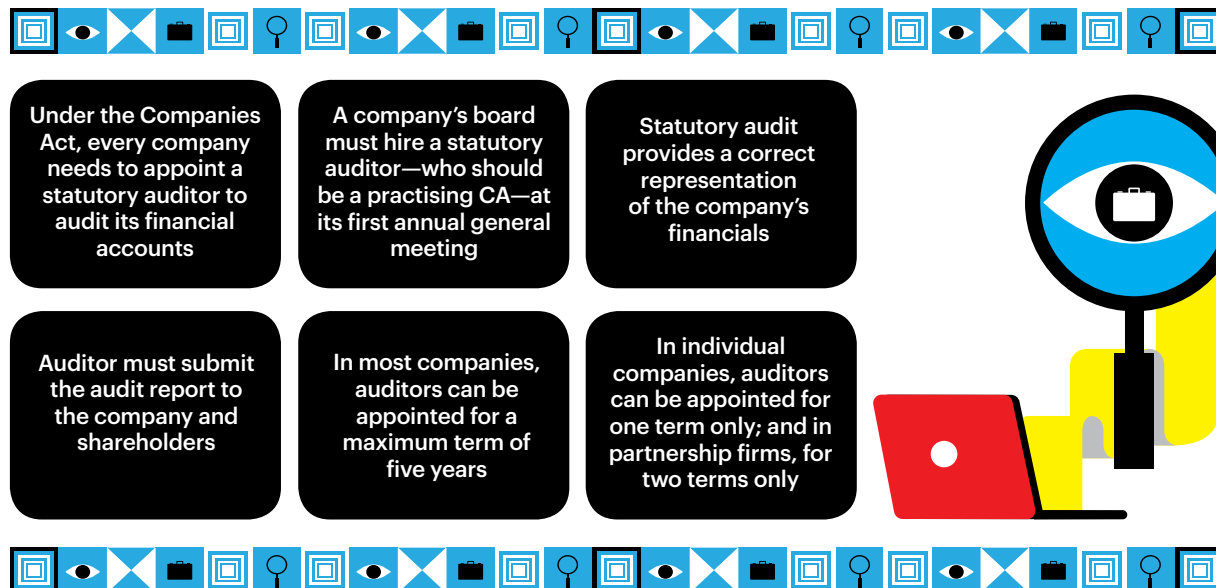


## STATUTORY AUDIT: WHY AND HOW



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of large public interest entities to maintain their independence. Non audit services can include any professional service that an auditor can provide to an audit client, but certain services such as accounting and book keeping are already barred. While this is still pending along with other planned amendments of the Companies Act, 2013, a number of firms such as Deloitte and Price Waterhouse have voluntarily chosen not to offer non-audit services in India. The amendments are aimed at further enhancing the independence of statutory auditors with proposals such as clarifying “management services” or non-audit services that an auditor would be prohibited from taking up for an audit client as well as a cooling off period before a former auditor can take up a board position at a company. It is also likely to provide for a joint audit for at least some firms. According to sources, the Ministry of Corporate Affairs is consulting stakeholders on this.

### THE RESIGNATION ROUTE

What has made auditors more wary is an NFRA circular in June that noted that they are not discharging their mandatory obligations to report fraud and suspected fraud to the central government and the board or audit committee. “Resignation does not absolve the auditor of his responsibility to report suspected fraud or fraud as mandated by the law,” it underlined.

NFRA Chairman Ajay Bhushan Pandey points out that the recent decision of the Supreme Court has highlighted this aspect and has reiterated that auditors cannot avoid reporting of fraud by taking the resignation route.

“Financial statements that contain material misstatements due to fraud or error will never reflect the true and fair view of the state of affairs of the companies. The auditors’ fundamental role is to ensure that the financial statements audited by them are free from frauds and errors,” he tells

BT, adding that there was a need to reiterate these important provisions of the Standards on Accounting and the Companies Act for the attention of the audit profession, those charged with governance (TCWG), and other stakeholders.

Data from primeinfobase.com reveals that there have been 1,966 instances of resignations by auditors between January 1, 2018, and October 10, 2023, from NSE-listed companies and firms exclusively listed on the BSE with a market cap of more than ₹1,000 crore. The cessations have been for various reasons, including no intimation for further continuation, expiry of term, complying with regulatory norms, disqualification by the Reserve Bank of India, as well as mid-term cessations where no reason was provided. (*See box ‘Cessation of Auditors’*)

Pandey also raises the point that along with the auditors, the TCWG—the board of directors, audit committee and independent directors—are also responsible